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Technology Credit: Best of Mid September



Robert Schiffman
Team: Credit
BI Senior Credit Analyst

1. AI Capex Surge Raises Funding Stakes, Widens Credit Dispersion

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- AI infrastructure financing is broadening beyond the capex surge, as cumulative hyperscaler spending potentially nears $9 trillion through 2031 and debt issuance possibly hits $500 billion in 2027. Amazon.com's obligations are rising, while Nvidia's record buyback shows AI spending can coexist with shareholder distributions. Telecommunications, media and tech bond outliers and still-wide technology spreads point to issuer-level dispersion, even as Moody's positive sector view suggests pressure remains tied more to capital intensity, issuance and funding technicals than broad credit deterioration. (10/01/26)

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Key Topics

Oracle Junk Concerns Fade?

2. Oracle CDS Breach Record High, Yet AI Growth Could Eclipse Risk

Contributing Analysts Suchi Trivedi

Record highs for Oracle's credit default swaps (CDS), now exceeding 220 bps, may overstate its standalone credit risk as AI funding concerns increasingly make the name a proxy hedge for data-center exposure. Investors and lenders financing Oracle-tenanted and other AI data-center projects can use its liquid CDS to hedge construction and tenant risk, potentially pushing spreads wider than Oracle's standalone fundamentals would indicate. Oracle's 121% growth in cloud infrastructure and $664 billion RPO increasingly support management's commitment to investment grade ratings as stronger AI monetization expands Ebitda and gradually offsets leverage pressure from the build-out. Project Jupiter adds execution noise, but disciplined funding and continued backlog conversion could narrow the gap between market-implied risk and Oracle's underlying credit profile. (09/26/26)

Interactive Credit Checklist: Oracle

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow	Neutral	⬌	25
Leverage & Financial Policies	Unfavorable	⬌	20
Competitive Landscape	Favorable	⬌	10
M&A	Favorable	⬌	10
Event Risk	Neutral	⬌	5
Stock Performance	Unfavorable	⬌	15
Debt Maturities	Unfavorable	⬌	15
Valuation	Favorable	⬌	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

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Another Oracle Data-Center Delay Clouds AI Payoff: Credit React

Contributing Analysts Suchi Trivedi

RECENT EVENT REACTION: Oracle's Project Lighthouse in Wisconsin faces a material risk of delayed power availability, according to a report by Aterio, adding to recent concerns around Project Jupiter and raising execution risk across its AI data-center build-out. Further delays could push out delivery of capacity, revenue and Ebitda needed to monetize Oracle's heavy AI investment, while negative free cash flow and elevated funding needs persist. Until operating performance demonstrates that new capacity can be delivered and converted into cash flow, execution concerns could continue weighing on Oracle bonds, credit-default swaps and equity valuation. (09/30/26)

3. Oracle Force Majeure Tests Timing, Not AI Demand: Credit Outlook

Contributing Analysts Suchi Trivedi

THESIS: Oracle's force majeure notice for Project Jupiter looks more like a timing issue than a sign of weaker AI demand, supporting our view that it can maintain high grade ratings, and recent bond and CDS widening may be overdone. Delayed payments could ease near-term cash burn and funding needs, though a later start would push out revenue and Ebitda growth and raise uncertainty around monetizing Oracle's AI investments. Its $664 billion of RPO provides strong visibility, but conversion into revenue and cash flow is critical as heavy fiscal 2027 capex keeps free cash flow negative and borrowing needs elevated.

Greater funding clarity, including likely debt issuance in 1H27, and continued operating improvement could support spread tightening and relative outperformance vs. megacap hyperscaler tech peers as execution risk recedes. (09/26/26)

A $9 Trillion AI Capex Spend

4. $9 Trillion AI Question: Can Markets Fund the Capex Growth?

AI infrastructure spending could approach $9 trillion cumulatively by 2031 as hyperscalers keep ratcheting up capex plans, yet this trajectory isn't certain, as outer-year consensus increasingly assumes spending growth that looks difficult to sustain. Recent guidance reinforces our view that 2026 outlays could rise almost 100%, with pressure extending into 2027, even as weaker free cash flow increases the need for financing. Deep markets for bonds, equities, leases, project finance and customer prepayments should absorb the shortfall, keeping the build-out financeable, even if spending ultimately undershoots current long-term expectations. (09/15/26)

5. Hyperscalers' Largest Appetites for AI Capex Keep Getting Bigger

Contributing Analysts Suchi Trivedi

Amazon could lead capital spending on AI at about $220 billion in 2026, topping Alphabet's $195-$205 billion and Microsoft's almost $200 billion, we calculate. Amazon and Alphabet's spending could top $300 billion in 2027, reinforcing our view that the near-term build-out has further to run, even as outer-year expectations grow less certain. Aggregate capital spending by the largest US hyperscalers, which now include SpaceX, will approach $960 billion in 2026, based on consensus, up from our prior view of $750 billion, as the latest earnings cycle lifts near-term plans

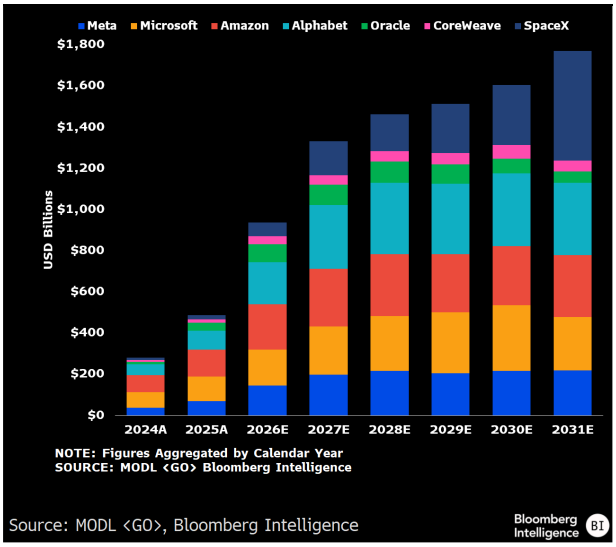
On current trajectories, cumulative AI capex could approach $9 trillion in 2025-31, though aggressive outer-year assumptions, particularly for SpaceX, could prove too high. Stronger demand,

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government support and strategic investment could push spending higher, while large-language model efficiency gains and slower growth at mature hyperscalers may temper the build-out. (09/15/26)

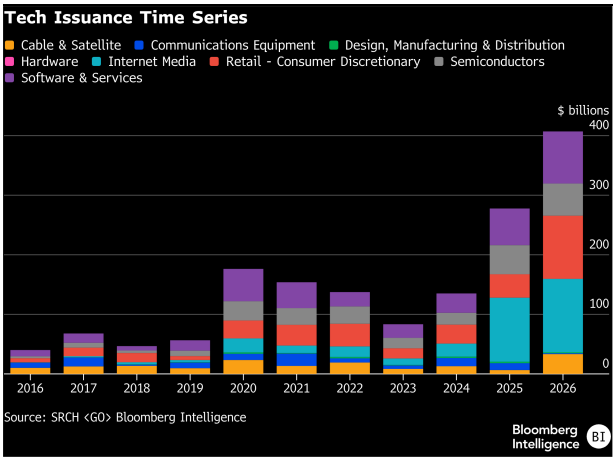
Technology's Largest AI Capex Spenders



6. $400 Billion of AI Debt Supply Has Snowballed

Amid costly AI build-outs and falling all-in interest rates, with aggregate sector spreads still tight, tech corporate bond issuance hit an all-time high in 2025. Issuance has once again exceeded records in 2026, with more than $400 billion on an adjusted basis issued year-to-date alone. This includes non-tech index constituents such as Meta, Amazon and SpaceX, as well as private off-balance-sheet deals. A forecast for an increase exceeding 95% in hyperscaler capex in 2026 has driven higher issuance this year, and it will likely do so in subsequent years. (09/15/26)

Tech Issuance Time Series ($Billions)



7. Access to Capital Keeping Cash at Record Highs

Contributing Analysts Suchi Trivedi

Abundant liquidity and capital market access should keep broad tech credit risk contained, even as AI spending swells leverage and debt issuance. Strong Ebitda and operating cash flow, combined with years of conservative financial policy, leave most issuers with substantial balance-sheet capacity and

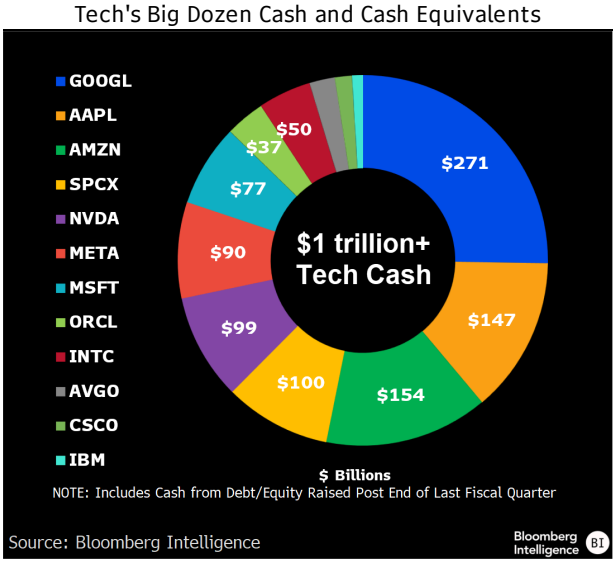
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limited ratings pressure. The 12 largest issuers we cover hold nearly $1 trillion of cash, while sector liquidity across the ratings spectrum exceeds $1 trillion.

Most issuers could fund operations through the near term without new debt, and capital-market access remains deep despite wider spreads and higher yields. That funding flexibility should allow issuers to preserve liquidity while financing elevated AI investment, even as spending and shareholder returns temporarily outpace internally generated cash. (09/22/26)

Tech's Big Dozen Cash and Cash Equivalents



8. Negative Free Cash Flow Gap to Grow Wider

Contributing Analysts Suchi Trivedi

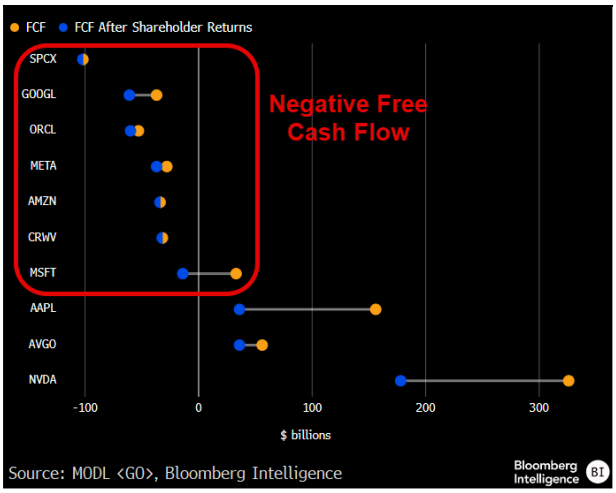
AI funding needs could rise further in 2027 as heavier capex pushes excess free cash flow deeper into negative territory at SpaceX, Alphabet, Oracle, Meta, Amazon and even Microsoft. Aggregate free cash flow may remain positive across the broader tech group, but after dividends and anticipated buybacks, several issuers could require considerable additional financing rather than drawing down cash reserves.

Funding options remain broad, spanning balance-sheet cash, unsecured bonds, private debt, third-party project financing and debt backed by data centers, chips and other infrastructure assets. That breadth should support continued large-scale AI financing through the rest of 2026 and into 2027, with adjusted investment-grade technology issuance already topping $400 billion across currencies this year. (09/22/26)

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2027 Expected Free Cash Flow After Returns



'26 Record Issuance: '27 Also?

9. Big Tech Bond Boom: Another Record in 2027 as AI Splurge Endures

Contributing Analysts Suchi Trivedi

Big tech looks poised to break another record for high grade issuance in 2027, defying concerns that this year's pace isn't sustainable as surging AI investment overwhelms the sector's formidable cash generation. Issuance across currencies has already topped $400 billion in 2026, surpassing 2025's record, and could reach $500 billion next year as refinancing needs, shareholder returns and still-rising AI capital spending keep borrowing elevated. This debt surge is unlikely to trigger broad ratings pressure as Ebitda growth keeps leverage under control for most large issuers and funding markets remain receptive despite vocal skepticism. (09/23/26)

10. AI Spending Could Fuel Another Record for Tech Debt in 2027

Contributing Analysts Suchi Trivedi

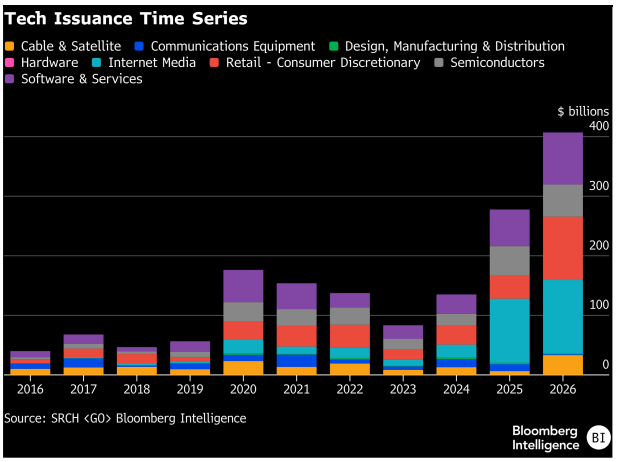
With consensus forecasting more than $9 trillion of AI-related capital spending through 2031, coupled with hundreds of billions of dollars of refinancing needs, elevated issuance of tech debt could extend into 2027. Year-to-date supply has approached $400 billion across currencies, already topping roughly $290 billion in 2025, and more than doubling the prior peak of about $150 billion in 2021. Sustained AI infrastructure spending and a growing maturity pipeline could keep 2027 issuance near or above this year's record pace.

Amazon, Alphabet, Oracle, Meta and SpaceX account for nearly $250 billion of year-to-date issuance, underscoring how quickly AI investment is reshaping tech funding. Strong demand (albeit at wider spreads and higher yields) has so far allowed issuers to absorb substantially more debt, while anticipated Ebitda growth should help contain leverage. Credit differentiation could still widen as borrowing rises, with free cash flow, liquidity, refinancing needs and the pace at which AI investment converts into earnings becoming increasingly important to debt capacity. (09/23/26)

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Adjusted High Grade Issuance by Subsector - All FX



11. Tech Refinancing Looks Manageable as AI Funding Swells

Technology companies should have little difficulty absorbing maturities through 2027, yet refinancing and elevated AI investment could keep borrowing well above debt coming due over the next 12-15 months. Apple, Amazon.com, Oracle, Microsoft and IBM face the largest maturities through the end of 2027, with still-supportive credit spreads and negative free cash flow at several issuers making refinancing more likely than repayment as AI capital spending climbs.

Strong balance sheets and operating cash flow leave most hyperscalers with ample funding capacity, limiting near-term refinancing risk even as gross debt rises. The bigger credit question is whether persistently high AI spending begins to erode free cash flow enough to increase reliance on external financing. That could keep supply elevated well beyond the current maturity cycle, particularly for issuers simultaneously funding acquisitions, data centers and other infrastructure. (09/23/26)

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2026-27 Dollar Maturities: Technology



What Would Moody's Do: Webinar

12. Tech Ratings Risk: Does It Increase as AI Spending Accelerates?

Contributing Analysts Suchi Trivedi

Technology is entering a more capital-intensive phase as AI investment drives a sharp rise in funding needs across hyperscalers, semiconductor companies and infrastructure providers. For the largest issuers, strong cash generation and broad market access can absorb much of that spending, but rising debt, heavier issuance and greater execution risk are creating a wider range of outcomes across the sector. (09/16/26)

13. Where Are Tech Ratings Headed? A Moody's Perspective: BI Webinar

Contributing Analysts Suchi Trivedi

Please join Bloomberg Intelligence and Moody's technology team for a discussion of the most important credit themes shaping the technology industry today. We'll examine how AI-related capital spending is impacting leverage, free cash flow, ratings trajectories and bond supply, while assessing where balance-sheet strength remains sufficient to offset higher investment requirements. The discussion will extend well beyond hyperscalers, covering trends across software, semiconductors, hardware, data centers, communications infrastructure and other subsectors. We'll also highlight key ratings considerations, areas of emerging risk and increasing disparities across technology credits.

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Registration for the Sept. 29 webinar is required: https://bloomberg.zoom.us/webinar/register/7317890694404/WN_27AB9aZoQpSsVmKIv4kE2Q#/registration (09/23/26)

Click to Register for Webinar



Nvidia Buyback Capacity

Nvidia Can Fund AI Ecosystem, Still Buy Back Big: Credit React

Contributing Analysts Suchi Trivedi

RECENT EVENT REACTION: Nvidia's $150 billion stock-repurchase increase underscores exceptional financial flexibility, with strong free cash flow and liquidity supporting record shareholder returns without compromising its AA ratings profile. That flexibility is increasingly valuable as Anthropic and other AI developers sign ever-larger neocloud contracts, and contracted compute demand across the ecosystem reaches well into the tens of billions of dollars, while Nvidia uses take-or-pay guarantees, strategic investments and other credit support to help finance capacity. The $235 billion remaining buyback through fiscal 2028 is sizable, yet Nvidia's cash generation and operating scale leave substantial room to return capital while continuing to fund customers, partners and the broader AI build-out. (09/28/26)

Amazon Total Commitments

How AI Capex, Debt Drove Amazon Commitments Above $650 Billion

Contributing Analysts Suchi Trivedi

As capital spending surges above $200 billion this year, Amazon.com's free cash flow has turned sharply negative, while debt has risen significantly, a trend likely to extend in 2027. Even with total commitments and obligations (including leases and unconditional purchase obligations) now above $650 billion, Amazon's A1/AA/AA- credit profile remains stable, as rising AI revenue should drive Ebitda higher and leverage lower as investments are monetized. (09/19/26)

14. Total Debt Rises as Amazon Accesses Global Funding

Amazon's total debt-like obligations (including leases) have surged over the past few years and may keep rising. The absolute size of debt doesn't jeopardize the company's improving credit profile, we believe, as leverage creep remains manageable. Total lease-adjusted debt has risen to $273 billion

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after issuing almost $100 billion in debt across a wide variety of currencies in 2026 to fund its rising data-infrastructure capex.

With a weighted-average fixed-coupon cost of only 4.3% and a weighted-average cost of debt near zero, Amazon maintains ample access to low-cost debt. With a sharp rise since 2021, the company's adjusted debt exceeds levels at Apple, Microsoft, Oracle, Alphabet, Broadcom and Meta. (09/19/26)

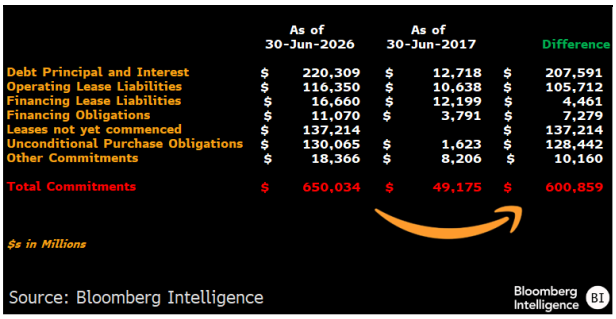
Tech's Lease-Adjusted Debt ($Billions)



15. Commitments Exceed Half Trillion Dollars

Calculating Amazon's obligations isn't simple, with many possible adjustments in its complex structure. Amazon's principal contract commitments (including debt principal and interest, unconditional purchase obligations and finance-lease liabilities) exceeded $650 billion at the end of 2Q, $210 billion higher than 4Q25. Though that sum could rise further as AWS infrastructure needs increase, financial flexibility has expanded considerably over the past five years, with double-digit Ebitda growth and revenue of more than $828 billion expected this year. (09/19/26)

Amazon Total Commitments



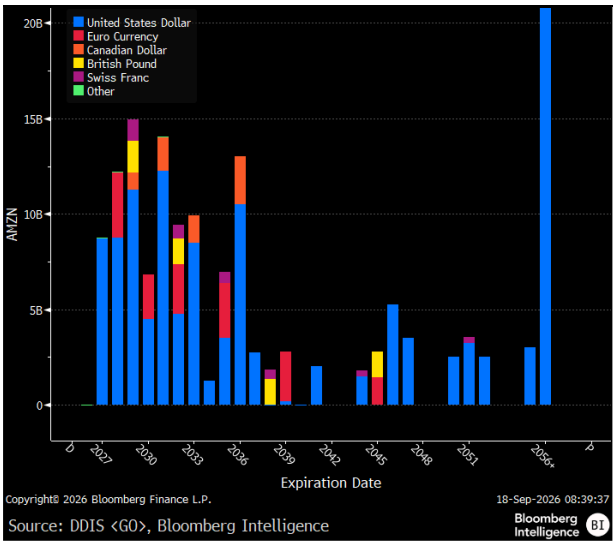
16. An Abundance of Issuance Lifts Index Value

With a market value of over $105 billion after climbing up the debt-index rankings, Amazon leads all non-financial index leaders including Oracle, AT&T, Verizon, Meta and Alphabet. (09/18/26)

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Amazon Maturity Profile



TMT Credit Spread Outliers

17. TMT Credit Outliers Put Spread Dispersion in Focus: BI Webinar

Contributing Analysts Stephen Flynn (Credit)

Communications and technology are the worst-performing investment-grade sectors this year, posting negative excess returns of 87 and 42 bps, respectively, vs. a positive 41-bp return for the Bloomberg US Corporate Bond Index. Yet dispersion within technology, media and telecoms (TMT) remains significant amid rising capital intensity and competitive pressure. Many TMT bonds trade at materially wider spreads than peers, creating potential prospects. Please join BI's Robert Schiffman and Stephen Flynn on Sept. 15 at 11 am New York time as they assess the credit outlook for TMT spread outliers. Specific company discussions will include AT&T, Charter, Comcast, Meta, Oracle and SpaceX, highlighting the potential for bond outperformance. (09/10/26)

18. TMT Outliers Reveal Value Beyond Sector Pain: BI Webinar Replay

Contributing Analysts Stephen Flynn (Credit)

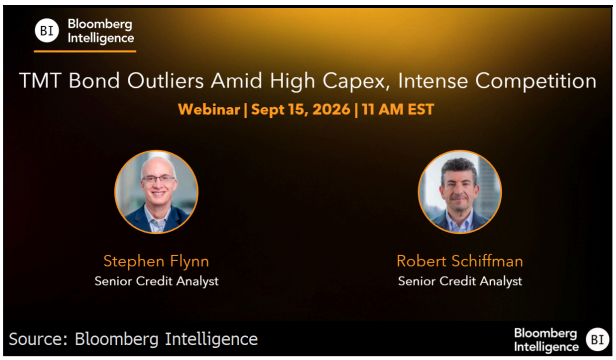
Bloomberg Intelligence's Stephen Flynn and Robert Schiffman discussed how markets may finance an estimated $9 trillion of AI capital spending, with Oracle and SpaceX helping illustrate the scale and credit implications of the build-out. In telecom and cable, AT&T, Charter and Comcast showed a more mixed picture, with improving leverage and balance-sheet trends offset by continued competitive and strategic pressures. Flynn and Schiffman framed those differences across technology, media and telecom as a key source of spread dispersion and potential relative-value opportunities.

To view the slides and watch the replay click on the image. (09/17/26)

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Click to Webinar Replay



Broadcom No Hyperscaler

Broadcom's Rapid Upgrade Trajectory Shows No Signs of Slowing

Broadcom could earn further rating upgrades over the next two years as rapid Ebitda growth and continued debt reduction pull leverage below 2x. About $6 billion of net debt repayment year-to-date and a track record of post-deal deleveraging have already helped lift the company to single A ratings, with all three major agencies maintaining positive outlooks. Just $5.9 billion of debt comes due through 2028, leaving ample room for further deleveraging as Ebitda rises well above record highs, though raters are likely to scrutinize backstop and off-balance-sheet financing that could add leverage beyond reported debt. (09/16/26)

Broadcom's Debt Burden Looks Lighter as AI Peers Boost Leverage

Contributing Analysts Suchi Trivedi

Broadcom's aggressive use of cash pushed up total debt to almost $80 billion two years ago. That was among the highest in the tech sector, but it has since fallen below $60 billion as M&A took a back seat and AI demand fueled record growth. Shareholder returns could rise with free cash flow, yet Broadcom's exposure to hyperscalers' data-center spending limits its own funding needs. That should allow debt to keep falling, leaving Broadcom increasingly underlevered relative to tech leaders Amazon.com, Alphabet, Oracle and Meta. (09/16/26)

High Yield Tech Rate Risk

19. High Yield Tech Bearing Brunt of Higher Rates, Costlier Funding

High yield technology remains more exposed to rising rates and declining risk tolerance than the broader junk bond market, with Bloomberg High Yield Tech spread near 400 bps vs. 321 bps for the Bloomberg US Corporate High Yield Index. The roughly 79-bp premium could persist as 5-year Treasury yields above 5% raise refinancing costs and pressure valuations for longer-duration, cash burning issuers. Higher coupons may also narrow market access, separating companies that can self fund from those reliant on refinancing. Issuance remains concentrated in a few large deals, limiting supply pressure, while ratings offer little catalyst for sustained tightening. High grade tech faces a different challenge as heavy AI-related borrowing adds supply and could keep spreads under pressure. (10/05/26)

20. CoreWeave, EA Dominate Public Issuance Year-to-Date

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Bloomberg Intelligence

Contributing Analysts Suchi Trivedi

(10/02/26)

High Yield Tech Issuance

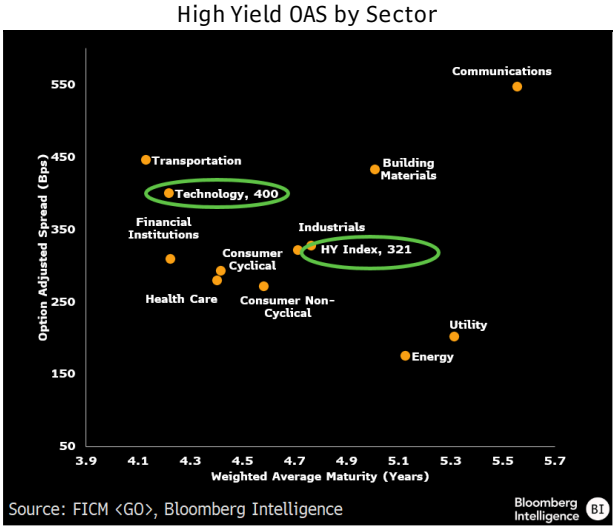


21. Tech Among Widest Sectors

Contributing Analysts Suchi Trivedi

(10/02/26)

High Yield OAS by Sector



To contact the analyst for this research:

Robert Schiffman at rschiffman3@bloomberg.net

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